

Distressed Mortgage Pool #1

Number of loans	246
Original appraised value	\$71.4mm
Unpaid principal balance	\$58.8mm
2009 estimated home value	\$38.6mm
Purchase price	\$24.3mm
Discount to original appraised value	66.0%
Discount to current home value	37.0%

At our purchase price, we effectively owned the homes underlying these mortgages at an average value of approximately \$99,000 per home. This home value provided us an additional margin of safety because these homes were competitive with apartment rentals at this price.

By midyear 2010, we saw that the performance of this mortgage pool, including interest, had returned more than 30% of our initial capital investment. Looking just at the properties unwound, they generated a total return on our investment of more than 24%. In addition, we earned a better than 8% current yield on our remaining basis in the portfolio.

Since the early returns validated our initial thesis, we continued to buy additional pools, aggregating thousands of mostly nonperforming mortgages. While the early results were better than we would have expected, it was too soon to declare victory. The difficult tail end of the portfolio (deferred maintenance, property damage, and litigious situations) remained. Fortunately, the tail played out within the range of expectations, and the weighted average return of these distressed mortgages turned out to be 12.5%.

Charlie Munger once explained, “Part of the reason we have a decent record is we pick things that are easy. Other people think they’re so smart that they can take on things that are really difficult. That